

COLLATERAL ASSIGNMENT OF PROMISSORY NOTE, MORTGAGE, AND GRANITE LOAN DOCUMENTS

This **COLLATERAL ASSIGNMENT OF PROMISSORY NOTE, MORTGAGE, AND GRANITE LOAN DOCUMENTS** (this "Assignment") is made as of the ____ day of _____, 2014, by the **CITY OF CHEYENNE, a Wyoming municipal corporation**, whose principal office and mailing address is located at 2101 O'Neil Avenue, Cheyenne, WY 82001 (the "City"), to **WYOMING BUSINESS COUNCIL** (the "Council"), **a body corporate organized under the laws of the State of Wyoming and operating as a state instrumentality operated solely for the public benefit**, whose principal office and mailing address is located at 214 West 15th Street, Cheyenne, Wyoming 82001.

- A. City has made a loan to Granite Peak Development Limited Partnership, a Wyoming limited partnership formerly known as Granite Peak Development, LLC, a Wyoming Limited Liability Company ("Granite"), in the stated principal sum of \$3,000,000 (the "Granite Loan"), as evidenced by a Non-Negotiable Promissory Note dated as of even date herewith made by Granite and the City and guaranteed by Rich Fairservis (the "Guarantor"), all in connection with the project (the "Project") to construct railways, spurs, and switching and related facilities to serve the Swan Ranch Rail Park (the "Park") in Cheyenne, Wyoming.
- B. The City, the Cheyenne-Laramie County Corporation for Economic Development (Cheyenne Leads), a Wyoming non-profit corporation and statutorily-authorized community development organization ("LEADS"), and Granite will construct the Project in accordance with an undated Amended and Restated Project Development and Administration Agreement (the "Development Agreement") made among them.
- C. During construction and afterward during the pendency of the Granite Loan, the City will own the project improvements pursuant to an Assignment of Ownership of Rail, Ties, and all Related Rail Equipment installed pursuant to Amended And Restated Project Development and Administration Agreement dated as of even date herewith (the "Rail Ownership Assignment").
- D. Pursuant to a Rail Road Right of Way Easement made as of even date herewith and recorded on _____, 2014, in Book _____ at Page _____ among the Real Estate Records of the County Clerk for Laramie County, Wyoming (the "Rail Easement Agreement"), made by Swan Ranch, LLC, a Wyoming limited liability company ("Swan"), and Clear Creek Land Company LLC, a Wyoming limited liability company ("Clear Creek"), the City will be the owner, for a term of ten (10) years from the date hereof, of a non-exclusive easement (the "Rail Easement") for a rail road line and corridor in Parcels 2, 3, and 4, as described and shown on Exhibits A, B, and C to Schedule 1 hereof, which schedule and exhibits are incorporated herein by this reference, subject to the rights of Granite, Swan, CLH, LLC, a Wyoming limited liability company ("CLH"), and any related entity to an exclusive option to acquire the rail, ties, and all related rail equipment installed pursuant to the Development Agreement and all of the City's right, title, and interest in the Rail Easement.
- E. The City has entered into a Track Lease Agreement for Rail Facilities Within Swan Ranch Rail Park, Cheyenne, Wyoming (the "Track Lease Agreement"), with CLH and Granite under which CLH will lease the City's rail facilities within the Park to serve various business enterprises now or to be located within the Park.

- F. The City has applied for, and been approved by the Council for, a Wyoming Business Ready Community-Business Committed Loan in the maximum principal sum of Three Million Dollars (\$3,000,000) (the "Loan"), which the Council will disburse to the City as provided in a Business Ready Community – Business Committed Loan Agreement made as of even date herewith by the City in favor of the Council (the "Loan Agreement").
- G. The Granite Note is secured, in part, by a Mortgage (the "Mortgage") upon the lands described on Schedule 1 to the Loan Agreement granted to the City by Swan and Clear Creek, among others, which Mortgage was made as of even date herewith and recorded on _____, 2014, in Book _____ at Page _____ among the Real Estate Records of the County Clerk for Laramie County, Wyoming.
- H. The City's obligations to repay the Loan to the Council is evidenced by a Promissory Note (the "Note") of even date herewith made in the maximum principal sum of the Loan.
- I. The Granite Note, the Mortgage, the Rail Ownership Assignment, the Rail Easement Agreement, the Track Lease Agreement, the Development Agreement, and all other documents, certificate, instruments, applications, opinions, and other writings evidencing, securing, executed, or otherwise made or delivered in connection with the Granite Loan are hereinafter referred to as the "Granite Loan Documents".

NOW, THEREFORE, in consideration of the Council agreeing to fund the Loan and other good and valuable consideration, the receipt of which is hereby acknowledged, and as further security for the performance of the Obligations (as defined in the Loan Agreement), the City hereby grants, conveys, transfers, and assigns to the Council all right, title, and interest of the City in and to the Mortgage, the Granite Note, all of the Granite Loan Documents, the debt and claims thereby evidenced and/or secured and all of the City's right, title and interest in and to the real estate therein described, and benefits under, in and to the Mortgage and/or any of the Granite Loan Documents.

TO HAVE AND TO HOLD the same with all of the rights, privileges and appurtenances thereunto belonging unto the Council, its successors and assigns until such time as the Obligations have been satisfied in full for the purpose of further and collaterally securing same (but not, however, for the purposes of securing any other obligations to Council, whether now existing or hereafter arising).

The City and the Council agree that the following terms and conditions shall govern this Assignment:

1. City's Rights until Default. So long as no default shall exist under the Obligations, the City shall have the right to exercise all of the City's rights and benefits under, in and to the Granite Note, the Mortgage, and all other Granite Loan Documents.
2. Council's Rights in Event of Default.
 - 2.1. Immediately upon the occurrence of a default under the Obligations, and until such default shall have been cured, as hereinafter defined, the Council is hereby expressly and irrevocably authorized to assume any or all of City's rights with respect to the Granite Note, the Mortgage, and all other Granite Loan Documents without further authorization, notice or demand and without the commencement of any action.

- 2.2. The City hereby constitutes and appoints the Council irrevocably, and with full power of substitution and revocation, the true and lawful attorney, for and in the name, place and stead of the City, to exercise any and all rights and remedies of the City under the Granite Note, the Mortgage, and all other Granite Loan Documents. The City hereby grants unto said attorney full power and authority to do and perform each and every act whatsoever requisite to be done with respect to the Granite Note, the Mortgage, and all other Granite Loan Documents, as fully to all intents and purposes, as the City could do if personally present, hereby ratifying and confirming all that said attorney shall lawfully do or cause to be done by virtue hereof, *provided, however, that* any acts or omissions by the Council after default shall be at the Council's discretion and shall not be or become the basis for any liability of the City.
- 2.3. Acceptance of this Assignment by the Council shall not constitute a satisfaction of all or any part of the Obligations of the City.
- 2.4. The rights and powers of the Council hereunder shall continue and remain in full force and effect until all Obligations are satisfied in full. Council shall not be liable to City or anyone claiming under or through City by reason of any act or omission by the City hereunder.
- 2.5. A default shall be cured when the City shall have satisfied applicable provisions for cure in the Note, the Loan Agreement, and all other applicable Loan Documents.
3. Termination. Upon satisfaction in full of the Obligations, this Assignment shall thereupon be void and of further no effect and, in that event, upon the City's request, the Council agrees to execute and deliver to the City instruments evidencing the termination of this Assignment and/or release of the Council's interest in the Granite Note, the Mortgage, and all other Granite Loan Documents.
4. Notice. Notice and other communications under this Assignment shall be given in the same manner provided for in the Note.
5. Miscellaneous. The provisions of Section 14 of the Loan Agreement and all of the subsections thereunder are hereby incorporated herein by this reference.

IN WITNESS WHEREOF, the City has caused this instrument to be executed by its Mayor and attested by its City Clerk, all as of the date first above written.

ATTEST:

CITY OF CHEYENNE

By: _____
Carol Intlekofer, City Clerk

By: _____
Richard L. Kaysen, Mayor

Approved as to Form Only:

Assistant Attorney General

STATE OF WYOMING
COUNTY OF LARAMIE

This instrument was acknowledged before me on this _____ day of _____, 2014, by
RICHARD L. KAYSEN, the Mayor of CITY OF CHEYENNE.

Notary Public

My Commission Expires: _____

WBC FINAL DRAFT 5-15-14